

FRVO

FRVO N/A

Buy	\$33.07 ▼ 1.47%	12M Price Target \$48.00	52-Week Range \$32.63 – \$42.65	Market Cap \$9.72B
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FRVO: Reiterate Buy as post-IPO unwind creates entry into geothermal scale story

WHAT'S CHANGED

- FRVO -14.9% over five sessions (\$38.86 → \$33.07), now trading just 1.3% above 52-week low and at only 4% of 52-week range — classic post-IPO lock-up/momentum unwind despite no negative news flow.
- Options tape decoupled from cash market: P/C of 0.09 (675 calls vs 59 puts) signals tactical positioning for a bounce; June 8 bullish sell-side initiations not yet reflected in price.

IMPLICATIONS

The disconnect between bullish Wall Street initiations (June 8) and a 5-day -14.9% drawdown suggests forced selling/IPO digestion rather than thesis impairment — a setup typical of recently-public energy names where early holders rotate before institutional sponsorship builds (institutions only 18.3%). With Energy ETF +1.50% on the day and geothermal increasingly positioned as a baseload solution for AI/datacenter load growth, FRVO's narrative tailwinds remain intact even as price disconnects. The risk/reward improves materially at \$33 versus \$43 given unchanged Cape Station execution timeline and hyperscaler demand backdrop.

VALUATION

At \$9.72B market cap on FY2027E revenue of ~\$310M, FRVO trades at ~31x forward EV/Revenue — rich on near-term metrics but consistent with pre-revenue-inflection infrastructure plays with multi-GW pipeline visibility. Base case \$48 PT (+45% upside) assumes 25x FY2028E revenue as Cape Station Phase I de-risks; multiple contraction to 15x drives bear case if drilling productivity disappoints. The stock's binary nature on EGS economics justifies smaller position sizing despite attractive entry.

KEY RISKS

- Enhanced geothermal drilling cost/productivity below internal flow-test guidance, compressing project IRRs and forward PPA pricing power.
- Capital intensity requires recurring equity raises; with only 18.3% institutional ownership, secondary offerings could pressure share price.
- Hyperscaler PPA concentration risk — loss or renegotiation of Google or comparable counterparty would impair backlog visibility.

RECENT NEWS

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up

Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com ·

2026-05-18 09:55

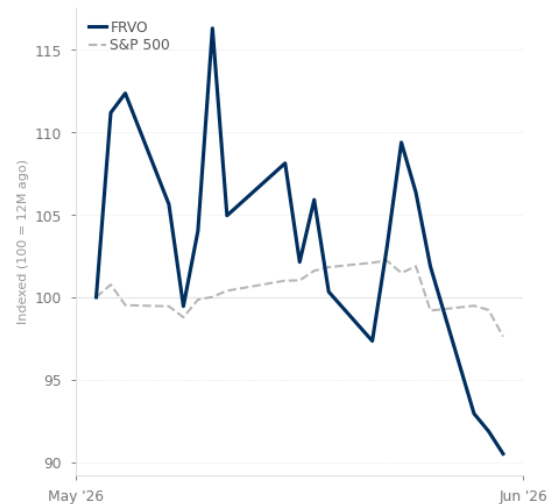
Key Data

Price (USD)	\$33.07
12M Price Target	\$48.00
Upside / (Downside)	+45.1%
Market Cap	\$9.72B
FY2026E Revenue	\$145M
FY2027E Revenue	\$310M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$36.00	\$30.00
6 Months	\$52.00	\$44.00	\$28.00
1 Year	\$65.00	\$48.00	\$25.00
2 Years	\$85.00	\$60.00	\$22.00
5 Years	\$140.00	\$85.00	\$18.00
10 Years	\$250.00	\$140.00	\$12.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples (+4.05% 5D), Real Estate (+3.40% 5D)

COLD SECTORS: Communication Services (-0.95% 5D), Energy (-0.78% 5D)

ROTATION WATCH: Defensive bid (Staples, REITs, Utilities green) suggests near-term risk-off positioning — headwind for high-beta pre-profitability names like FRVO until macro tape stabilizes.

BYPRODUCT PLAY: Datacenter baseload demand benefits nuclear SMR names (OKLO, SMR), grid infrastructure (GEV, ETN), and drilling services repurposed for geothermal (NBR, HP).

OUTPERFORMERS & PEER CONTEXT

- OKLO (Oklo Inc): SMR peer commanding premium multiple on hyperscaler announcements; benchmark for what FRVO could re-rate to with PPA momentum.
- GEV (GE Vernova): Grid/power-gen incumbent compounding on datacenter capex cycle, outpacing broader Energy ETF.

FRVO CONTEXT: FRVO is lagging both clean-energy peers and the Energy sector (-14.9% 5D vs Energy -0.78%), consistent with post-IPO supply overhang rather than fundamental underperformance — a relative-value setup once selling exhausts.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$30-33 on continued IPO digestion

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station drilling cost overruns >20% or hyperscaler PPA cancellation

Hedging: Long XLU or pair against richer clean energy comp